

Navigating Tariffs: Accounting and Financial Reporting Considerations



Tariffs, while not new to the global economy, have grown in prominence with recent rate hikes and shifts in trade patterns. Their introduction or modification can alter cost structures, disrupt supply chains, and create compliance hurdles. These developments have direct implications for accounting and financial reporting, often requiring reassessment of internal controls and updates to disclosures. Understanding the financial and operational effects of tariffs is essential for accurate reporting and effective business management in today's volatile trade environment.

Internal Controls Over Financial Reporting (ICFR)

Tariffs introduce new risks that companies must capture within their financial reporting systems. Entities should review existing ICFR frameworks to confirm that controls reflect tariff-related impacts and, where necessary, introduce new measures.

- **Identification:** Companies must actively monitor changes in trade rules, tariffs, and product categories.
- **Measurement:** Accurate calculation of tariff obligations depends on proper determination of product value and allocation of both direct and indirect costs.
- **Country of Origin:** Determining and documenting origin is essential for compliance and rate determination.
- **Product Classification:** Correct classification under the Harmonized Tariff Schedule requires judgment, and misclassification can lead to penalties or misstatements.
- **Compliance:** Weak processes can result in underreporting, fines, and reputational harm.
- **Disclosure:** Public companies may need to disclose material ICFR changes in SEC filings.

Accounting Considerations

Tariffs may impact financial reporting broadly or in specific accounts. Their unpredictability creates forecasting challenges, especially when combined with inflation and supply chain issues. As a result, management faces greater complexity in producing reliable estimates, with implications for:

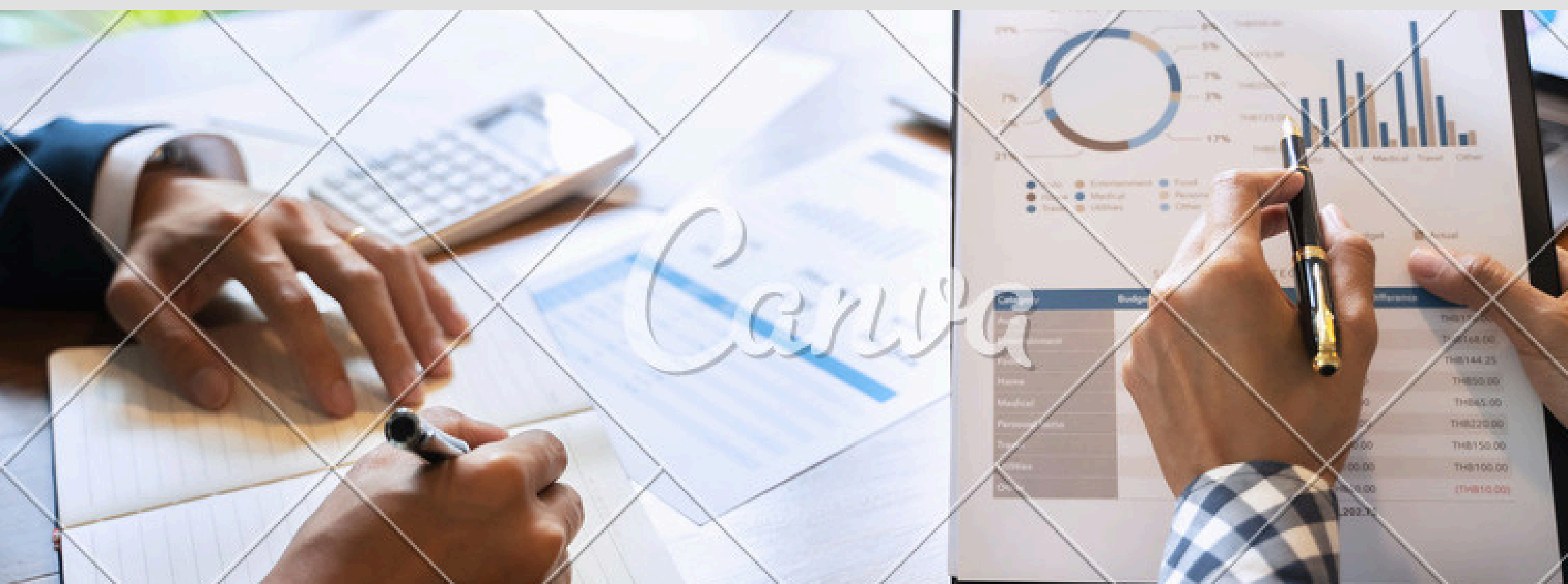
- Inventory valuation and impairment
- Long-lived asset and goodwill impairment
- Revenue recognition and contract accounting
- Tax estimates and liquidity forecasting

The timing of tariff announcements—before or after the reporting date—affects whether adjustments are recognized in financial statements or disclosed as subsequent events.

Inventory Valuation and Nonfinancial Assets

Under U.S. GAAP, tariffs levied on purchases are included in the acquisition cost of inventory. If businesses cannot pass on these cost increases, impairment risks arise. Companies with noncancelable, unhedged commitments may need to recognize expected losses, while supply-chain disruptions may force abnormal overheads to be expensed.

Tariffs may also trigger impairment reviews for long-lived assets and goodwill. Rising costs could render asset groups unrecoverable or require reassessment of fair value. In some cases, entities may abandon assets or accelerate depreciation if supply chains shift or operations become unsustainable. For indefinite-lived intangibles and goodwill, impairment testing may be required when tariffs constitute a triggering event.



Revenue Recognition

Tariffs can significantly affect contract accounting. Increased input costs may alter progress-based revenue recognition (e.g., cost-to-cost measures) and create onerous contract losses. Contracts with economic price adjustment clauses may allow tariff-driven increases to be passed to customers as additional revenue. Absent such clauses, changes are recognized only when enforceable as contract modifications.

Importantly, tariffs billed to customers form part of the transaction price under ASC 606 and cannot be excluded as “taxes.” Companies must also assess whether tariff impacts undermine customer creditworthiness, potentially affecting contract validity and revenue recognition. Disclosures must capture significant judgments and assumptions relating to tariff impacts on revenue.



Income Tax Implications

Tariffs can reduce profitability and liquidity, forcing reassessment of deferred tax asset realizability. Companies may need to record valuation allowances or reconsider indefinite reinvestment assertions on foreign earnings. Forecasting effective tax rates becomes more complex when profitability is volatile or close to breakeven, making year-to-date actual rates a more reliable estimate in some cases.

Other Reporting Considerations

Subsequent Events

Tariffs announced after the balance sheet date are generally Type 2 (nonrecognized) subsequent events. While not reflected in historical financials, material impacts must still be disclosed in notes, including nature and potential effect.

Going Concern

Tariff-related disruptions may jeopardize future cash flows. Management must evaluate whether substantial doubt exists regarding the entity's ability to continue as a going concern, and provide full disclosures where necessary.

Disclosures

Entities may need to discuss tariff impacts in footnotes, MD&A, and risk factors, especially when material. Legal counsel may also advise on updating forward-looking disclosures and registration filings.

Non-GAAP Measures

While management may seek to highlight tariff impacts by adjusting non-GAAP metrics, regulators are skeptical. The SEC has objected to attempts at "normalizing" recurring costs, viewing tariffs as potentially part of the new normal rather than extraordinary items.

